CASE STUDY 1 · INVESTMENT BANKING OPERATIONS

Trade Lifecycle & Failed Trade Management

Why trades fail to settle, how to read the signals, and how to fix them before the penalties start.

T+0 · Trade & match
Buyer and seller agree price, quantity, date

→

Instruct
MT541 / MT543 sent to depository

→

T+1 · Settle
Cash and securities exchange hands

→

Fail? · MT548
Status message says why

The core mechanics

What is it? In an institutional trade (e.g. buying $10M of corporate bonds), both sides must exchange cash and securities on the settlement date, typically T+1. If either side fails to deliver, the trade **fails**.

Why fails happen

SSI mismatch: account numbers, routing codes or DTC participant numbers don't match.

Economic discrepancy: price, quantity or trade date differ.

Short inventory: the seller doesn't hold the shares in their depot account on settlement day.

SWIFT MT54X messages

MT541 Receive Free: securities in, no payment.

MT543 Deliver Against Payment (DVP): securities out, cash in.

MT548 Settlement status: tells you *why* a trade failed, e.g. pending due to insufficient stock.

CSDR penalty exposure. Under the EU Central Securities Depositories Regulation, failed trades incur mandatory cash penalties per day of delay and can force a mandatory buy-in.

Interview Q&A

Q1. Walk me through how you handled failed trades in this project.

I monitored T+0 trade matching and T+1 settlement flows. Each morning I pulled the settlement status report from SWIFT MT548 messages to flag non-settled trades. I sorted exceptions into structural errors (wrong SSI details, economic mismatches) and inventory issues. For SSI or detail mismatches, I worked with the middle office or counterparty to amend instructions before cut-off. For shortages, I requested position borrows or prioritised stock reallocation so high-value trades settled first, avoiding CSDR fines.

Q2. What is an SSI, and how does an SSI mismatch cause a settlement fail?

An SSI (Standard Settlement Instruction) holds the counterparty's clearing details: agent bank account numbers, custodian codes and delivery instructions. If Party A sends an MT543 naming Custodian X, but Party B's static data says Custodian Y, the central depository (e.g. Euroclear or DTC) cannot pair the instructions. The trade sits unconfirmed and eventually fails.